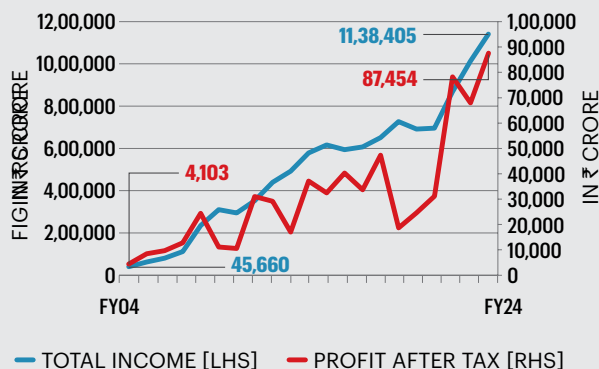


PROFIT BACK ON TRACK

- From more than ₹45,000 crore in FY04, total income surpassed ₹11 lakh crore in FY24
- PAT went past ₹87,000 crore for listed group firms in FY24 from just over ₹4,000 crore in FY04



GRAPH BASED ON THE COMBINED FIGURES OF LISTED COMPANIES, CONSOLIDATED PRIORITY;
DATA SOURCE ACE EQUITY



“ACROSS GROUP COMPANIES, HIS PERSPECTIVE ON EMPLOYEES WAS UNIFORM. IT IS SOMETHING THAT HAS SHAPED A NUMBER OF OUR LEADERS ACROSS THE GROUP... AS I PROCESS HIS ABSENCE, THIS WILL HAVE TO DO: HIS EYE RECEIVED EVERYTHING CLEARLY, AS HIS MIND PERCEIVED EVERYTHING CLEARLY”

N. CHANDRASEKARAN
CHAIRMAN, TATA SONS, ON LINKEDIN

GOING GLOBAL

By the end of 1999, a brand new Tata group logo, designed by London-based brand consultancy Wolff Olins, was unveiled. The blue and white logo helped consolidate RNT's position as the unquestioned leader. The following year, Tata Tea, quite audaciously, bought London-based Tetley Tea for \$450 million. This was a statement of intent—the deal value was four times Tata Tea's net worth, and it was the biggest cross-border acquisition at that point and marked the first instance of a leveraged or debt-financed buyout by India Inc.

The objective was to have operations outside India, and scale, RNT realised, was key to success. Over the next decade, the group acquired more foreign companies, starting with Tata Motors' purchase of Daewoo's commercial vehicles business and later Jaguar Land Rover from Ford, but nothing was as big as Tata Steel buying Corus for \$12 billion.

“He was not an immediate convert to economic reforms,” says Vallabh Bhanshali, Co-founder and Chairman of private equity firm Enam Group. The globalisation of the group took place later, and “one really saw the gradual evolution of the man in the new business scenario,” Bhanshali adds.

The messaging was clear—the group was no longer just a domestic giant. “The acquisitions of Jaguar Land Rover, Tetley Tea, and Corus stand as milestones, not just in expanding the group's reach, but in positioning Indian companies on the global stage. These deals allowed RNT to diversify the group's revenue streams and, more importantly, shifted perceptions of Indian businesses,” says Sougata Ray, Thomas Schmidheiny Chair, and Professor of Strategy & Entrepreneurship Practice at the Indian School of Business.

Of course, those acquisitions came with their own sets of challenges. Corus, for instance, was hit by the collapse of the global steel market after the financial crisis in 2008, severely denting Tata Steel's finances. As a result, the buyout suddenly looked very expensive.

Similarly, Air India, which was brought back into the Tata hangar in 2022, has come with its fair share of problems, including financial troubles. In FY23, the latest year for which financial data is available with ACE Equity, a corporate database, it shows that while consolidated total income doubled from ₹22,700 crore in FY22 to ₹42,239 crore in FY23, losses widened from ₹9,442 crore to ₹13,990 crore in the same period.